

VELOSHOP INC.

Annual Report

Fiscal Year Ended: Current Fiscal Year

NASDAQ: VELO

Headquartered in Kathmandu, Nepal

This annual report is a fictional document prepared for informational and testing purposes only. It does not constitute an official financial filing or investment advice.

Letter to Shareholders

Dear Fellow Shareholders,

It is my pleasure to share with you another year of steady, disciplined growth at Veloshop. Since our founding in Kathmandu in March 2010, we have remained committed to a simple idea: that customers anywhere in the world deserve access to a trusted, full-catalog online marketplace backed by reliable delivery. This past year, that commitment translated into consistent revenue growth, expanding margins, and continued momentum across every region we serve.

Our results this year reflect the strength of our diversified category strategy and the scale advantages of our proprietary logistics network, Veloshop Logistics. We saw particularly encouraging growth in our newer markets — North America and Continental Europe — while our founding markets in South Asia and the Middle East continued to deliver stable, profitable performance.

We also made meaningful progress on our long-term priorities: expanding grocery and fresh goods availability, growing VeloPlus membership, and deepening automation across our fulfillment centers. None of this would be possible without the dedication of our teams across five regional hubs and the trust of the millions of customers and sellers who choose Veloshop every day.

Looking ahead, we remain focused on sustainable, steady expansion rather than short-term acceleration at the expense of long-term health. We believe this measured approach continues to be the right one for our customers, our partners, and our shareholders.

Thank you for your continued trust and support.

Sincerely,

Anil Rajbhandari
Founder & Chief Executive Officer
Veloshop Inc.

Fiscal Year Highlights

Steady Revenue Growth: Total revenue grew at a steady double-digit pace year-over-year, driven by broad-based demand across electronics, fashion, and the newly expanded grocery category.

Margin Improvement: Operating margins expanded modestly, supported by efficiency gains within the Veloshop Logistics network and increased fulfillment scale.

Customer Base Expansion: Active customer accounts grew across all five regions, with particularly strong adoption in North America and Continental Europe.

Marketplace Growth: The third-party seller base expanded meaningfully, broadening catalog depth and contributing to healthier marketplace commission revenue.

VeloPlus Membership: Subscription membership grew steadily, with high renewal rates and stronger average order frequency among members versus non-members.

Logistics Network Expansion: New fulfillment centers and satellite warehouses were added across existing hubs, improving delivery speed in several metropolitan markets.

Financial Review

Revenue Performance

Revenue growth this year was broad-based across product categories and geographies. Electronics and fashion remained the two largest contributing categories by volume, while groceries and fresh goods posted the fastest percentage growth as the category expanded into additional metropolitan markets. International markets outside of South Asia now represent a growing share of total revenue, reflecting the continued maturation of our North American and European operations.

Cost Structure & Profitability

Cost of goods sold remained largely in line with revenue growth, while fulfillment and logistics costs as a percentage of revenue declined slightly due to scale efficiencies within Veloshop Logistics. Selling, general, and administrative expenses grew at a slower pace than revenue, reflecting continued operating discipline even as the company invested in new market development and technology infrastructure.

Capital Allocation

During the year, the company continued to reinvest the majority of operating cash flow into logistics infrastructure, fulfillment center automation, and technology platform improvements. Management believes these investments position Veloshop for continued steady growth in the years ahead while maintaining a healthy balance sheet.

Segment Performance Overview

South Asia: Mature, profitable market with stable growth; continues to serve as the company's operational backbone.

Middle East: Consistent performer with steady growth in electronics and fashion categories.

Southeast Asia: Solid growth driven by rising marketplace seller participation.

Europe: Fastest regulatory maturation; growth supported by expanding fulfillment infrastructure in Berlin.

North America: Company's fastest-growing region by percentage, led by strong grocery and electronics demand.

Stock Performance & Shareholder Information

Shares of Veloshop Inc. (NASDAQ: VELO) delivered steady, gradual appreciation over the fiscal year, generally tracking the company's quarterly revenue and margin trends rather than exhibiting sharp volatility. Management views this steady performance as consistent with the company's broader strategy of measured, sustainable growth over rapid, unsustainable expansion.

Dividend Policy

Veloshop does not currently pay a dividend, choosing instead to reinvest operating cash flow into logistics infrastructure, technology, and international market expansion. The Board of Directors periodically reviews this policy in light of the company's growth priorities and capital position.

Annual Shareholder Meeting

Veloshop holds its Annual Shareholder Meeting each year, providing shareholders the opportunity to review company performance, vote on governance matters, and hear directly from executive leadership regarding strategic priorities for the year ahead.

Outlook & Corporate Governance

Outlook for the Year Ahead

Management expects continued steady growth in the coming fiscal year, supported by further expansion of the grocery and fresh goods category, continued VeloPlus membership growth, and ongoing automation investment across fulfillment centers. International diversification, particularly in North America and Europe, is expected to remain a key contributor to overall growth.

Corporate Governance

Veloshop is governed by a Board of Directors comprising a mix of company executives and independent directors with backgrounds in global retail, finance, and technology. The Board oversees management's execution of long-term strategy, financial reporting integrity, and risk management practices across the company's international operations.

Closing Statement

Veloshop remains committed to steady, disciplined growth built on operational excellence, a broad product catalog, and a reliable global logistics network. The company thanks its shareholders, employees, sellers, and customers for their continued partnership and trust.

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